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Netflix's Culture: Binge or Cringe?

If you want to build a ship, don't drum up the people to gather wood, divide the work, and give orders. Instead, teach them to yearn for the vast and endless sea.

— Attributed to Antoine de Saint-Exupéry in *No Rules Rules* by Netflix co-founder, Reed Hastings¹

In May 2022, Netflix's most recent quarterly financial report revealed that the Silicon Valley-based entertainment giant had lost customers for the first time in more than 10 years.² Year-to-date shares were down 62%, worse than any other S&P 500 or Nasdaq-100 company.³ Revenue grew at its slowest rate in years.⁴ (See **Exhibits 1** and **2**.) After years of success, Netflix faced competition that threatened its status as the streaming subscription leader.⁵

Founded in 1998 in California, Netflix was known initially for renting DVDs through the mail before focusing on online streaming and developing its own original content. By the 2020s, Netflix was among the largest film and television (TV) entertainment companies in the world. In 2021, it released more than 500 original programs.⁶ That year, Netflix earned \$29.5 billion from its streaming service and \$182.3 million from its DVD rental service.⁷ The company had customers in 190 nations, reflecting the company's mission to "entertain the world."⁸

Observers considered Netflix's culture, based on its core values of "freedom and responsibility" and "no rules rules," as key to the streaming service's success. Hastings, who was also co-CEO, believed Netflix's culture translated to greater innovation, a creative workforce, and an ability to grow in changing media environments.⁹ Netflix's culture was first made public in 2009 via a 124-slide "culture deck" posted online.¹⁰ (See **Exhibit 3**.) Hastings and former Chief Talent Officer Patty McCord created the deck, with suggestions from over 100 employees.¹¹ The deck initially served to acclimate new employees, and after being made public, primed would-be employees on what it was like to work at Netflix.¹² The deck influenced firms in Silicon Valley and beyond; former Facebook executive Sheryl Sandberg said the deck "may well be the most important document ever to come out of the Valley."¹³

Following the earnings report, the *Wall Street Journal* highlighted that Netflix, confronted with a rude awakening, would begin reining in "its profligate ways."¹⁴ With the company losing subscribers

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and revenue stagnating, did Netflix need to revisit what made it successful? Was Netflix's defining culture now an obstacle?

Transforming Home Entertainment

After selling his first software business, Hastings co-founded Netflix with Marc Randolph in 1997, initially as a mail-order DVD sale and rental service.¹⁵ The inspiration for the business came from Hastings' personal experience with a \$40 late fee for failing to return a VHS tape on time to video rental chain Blockbuster.¹⁶ In 2000, Netflix moved from renting individual DVDs to offering a subscription-based service, which gained 10,000 subscribers during beta testing alone.¹⁷ To attract customers to the new service, Netflix ran promotions, including free, limited-time subscriptions.¹⁸

By September 2000, Netflix was on track to earn \$35.9 million in revenue for the year but faced \$57.6 million in losses.¹⁹ Feeling the pinch of the dot-com bubble crash, Hastings and a few executives met with Blockbuster's CEO to discuss a possible acquisition for \$50 million.²⁰ At the time, Netflix had 100 employees and 300,000 subscribers.²¹ Blockbuster declined Netflix's offer, and Netflix subsequently went public in 2002. In 2004, when Blockbuster started its own mail-order DVD rental service, it had 48 million customers compared to Netflix's 1.5 million.²² However, Blockbuster could not keep pace with the changing industry and filed for bankruptcy in 2010.²³

In 2007, Netflix began offering online streaming as a new service alongside DVD rentals.²⁴ The next year, the company ended its DVD sales division.²⁵ In 2010, Netflix expanded globally, first in Canada, then in the Caribbean and Latin America.²⁶ In 2012, Netflix ventured into creating original content.²⁷

Streaming competitors included Amazon Prime Video (launched in 2006), HBO Max (2010), and Disney+ (2019).²⁸ By 2022, Netflix had the most subscribers at 221.8 million, compared with over 200 million users of Amazon's Prime Video streaming service, 129.8 million subscribers of Disney+, and 73.8 million HBO Max customers (together with traditional HBO).²⁹ In addition to streaming platforms, Netflix competed with other entertainment offerings, including cable TV, movies, and books; in a 2017 earnings call, Hastings even said Netflix was "competing with sleep."³⁰

Key to the Culture: Freedom and Responsibility

In his software business, Hastings had often instituted new rules when employees made mistakes or exercised poor judgment (e.g., adding a travel expense policy after an employee stayed in a luxury hotel on a company trip).³¹ Over time, the list of rules grew, impeding employee creativity.³² At Netflix, Hastings sought to build a different kind of culture to support his new venture's success.

Netflix's culture, outlined in its culture deck, centered around a concept the company called *freedom and responsibility*. Hastings explained, "If you give employees more freedom instead of developing processes to prevent them from exercising their own judgment, they will make better decisions and it's easier to hold them accountable. This also makes for a happier, more motivated workforce as well as a nimbler company."³³ In a 2019 survey on employee happiness, Netflix earned the top spot over companies such as Facebook, Google, and Walmart, with 86% of respondents indicating they were happy at their work.³⁴

While employee autonomy was crucial to the culture, Netflix did not tolerate employees exploiting the freedom they were given, nor was freedom the norm in every situation. Hastings explained, "If your people choose to abuse the freedom you give them, you need to fire them and fire them loudly,

so others understand the ramifications. Without this, freedom doesn't work."³⁵ Additionally, controls existed for issues such as workplace harassment and the release of financial data.³⁶

Central Culture Deck Concepts

Netflix's freedom and responsibility culture involved several management approaches:

A "culture of candor" Early on, Netflix held standard performance reviews, but McCord found them "too ritualistic and too infrequent."³⁷ The company instead focused on consistent, candid feedback between employees of any rank, at any place or time (check-in meetings were a common venue).³⁸ Hastings noted his goal for employees was to "say exactly what they really thought, but with positive intent—not to attack or injure anyone, but to get feelings, opinions, and feedback out onto the table, where they could be dealt with."³⁹ *No Rules Rules* co-author Erin Meyer summarized the "culture of candor" thusly: "At Netflix, it is tantamount to being disloyal to the company if you fail to speak up when you disagree with a colleague or have feedback that could be helpful."⁴⁰

Open sharing with colleagues extended to "sunshining" (i.e., calling attention to) one's own mistakes.⁴¹ Job protection was not guaranteed after admitting a mistake, though. For example, a chief communications officer was terminated after "sunshining" a racial slur he used when discussing objectionable language in entertainment offerings.⁴²

Netflix shared company strategy, viewership numbers, programming contracts, and certain financial information with all staff.⁴³ The company's 700 managers (as of 2020) also received fiscal performance data in the weeks preceding each quarter's end.⁴⁴ Director-level staff (about 500 employees as of 2018) were able to see the pay of every worker.⁴⁵ However, Netflix executives rejected an initiative to share all salary information with employees of every level.⁴⁶ (See **Exhibit 3a**.)

"Talent density" Hastings sought to maximize his team's collective talent via *talent density*. He achieved this by a singular focus on hiring and retaining extraordinary employees, whom he described as "highly talented people, of diverse backgrounds and perspectives, who are exceptionally creative, accomplish significant amounts of important work, and collaborate effectively."⁴⁷ In building what he called a "dream team," Netflix did not tolerate what Hastings termed "brilliant jerks," who knew how stellar they were and acted superior to their colleagues.⁴⁸ The firm paid top salaries (but no bonuses) for creative jobs, believing outstanding employees to be exponentially more effective than average employees.⁴⁹ Netflix even encouraged employees to interview with peer companies and report back offers.⁵⁰ The company made it a habit of increasing salaries to beat competitors' real offers (or expected offers if an employee were to go on the market).⁵¹ (See **Exhibit 3b**.)

"Adequate performance gets a generous severance" Netflix fired average-performing (versus high-performing) employees without enacting a performance improvement plan, explaining "adequate performance gets a generous severance."⁵² Netflix typically offered severance of 4–9 months' salary in exchange for waiving the right to bring a lawsuit.⁵³ Netflix shared the reason for each termination with up to hundreds of employees in "postmortem" emails or meetings.⁵⁴

Netflix maintained it only fired employees for performance, not for differences in personality.⁵⁵ "Being part of Netflix is like being part of an Olympic team," the company wrote.⁵⁶ "Getting cut, when it happens, is very disappointing, but there is no shame at all. Our former employees get a generous severance, and they generally get snapped up by another company."⁵⁷

In 2020, Netflix reported 3% to 4% voluntary turnover and 8% involuntary turnover within the company, compared to an average combined turnover rate for all U.S. companies (18%), technology

firms specifically (13%), and entertainment and media companies specifically (11%).⁵⁸

“The Keeper Test” The Keeper Test was an exercise managers used to guide decisions about firing employees and that employees used to mitigate concerns about their job security.⁵⁹ In deciding to retain or dismiss a worker, managers were to consider the question: “If [the] person on your team were to quit tomorrow, would you try to change their mind?”⁶⁰ Employees unsure about their standing at the company were to ask their supervisor: “If I were thinking of leaving, how hard would you work to change my mind?”⁶¹ (See **Exhibit 3c.**) Hastings regularly used the Keeper Test on himself and his employees.⁶² In 2017, he fired Chief Product Officer Neil Hunt, a close friend and one of Netflix's first employees.⁶³ Citing Netflix's international growth and increased investment in original content, Hastings told Hunt that he was no longer the best person for the job and its changing demands.⁶⁴

“Informed captain” model Netflix's organizational structure eschewed hierarchical decision-making. Hastings felt that creativity and speed would be compromised if decisions had to go up the chain of command for review.⁶⁵ He wrote, “In some industries, preventing error is essential. We are in a creative market. [. . .] Our risk is failing to come up with creative ideas for how to entertain our customers, and therefore becoming irrelevant.”⁶⁶ Netflix instead relied on an *informed captain* model where an employee took ownership of a key decision, seeking to advance Netflix's goals rather than “please their boss.”⁶⁷ A manager's role, in turn, was to “lead with context, not control,” which meant lending perspective on a decision but not directing the outcome.⁶⁸ (See **Exhibit 3d.**)

No vacation policy In its early days, Netflix provided employees with several weeks' vacation, but subsequently dropped the policy to simplify procedures and reduce costs.⁶⁹ Hastings noted, “Unlimited vacation helps attract and retain top talent, especially Gen Z-ers and millennials [. . .]. Most important, the freedom signals to employees that we trust them to do the right thing, which in turn encourages them to behave responsibly.”⁷⁰ (See **Exhibit 3e.**)

“Act in Netflix's best interest” Netflix did not have a policy on expenses and travel.⁷¹ Instead, the company had a maxim of just five words: “Act in Netflix's best interest.”⁷² Netflix calculated that foregoing a policy increased costs by 10% as employees spent extra (e.g., flying business class instead of economy class).⁷³ Hastings decided that this extra 10% was worthwhile because a rule-based environment would aggravate employees, slow them down, and hinder their work.⁷⁴ (See **Exhibit 3f.**)

Culture of Creativity or “Culture of Fear”?

Netflix believed its culture enabled creativity, innovation, and the ability to successfully navigate industry changes.⁷⁵ One senior engineer stated, “[The] culture deck is taken seriously, and is a construct that everyone is constantly aligned around.”⁷⁶ Yet, differing reports emerged as employees spoke up about the distinct culture, with some questioning its continued viability. One former senior engineer wondered, “As you scale a company to become bigger and bigger, how do you scale that kind of culture? I don't know that we ever had a good answer.”⁷⁷

On the topic of candor, employee perspectives were split. One software engineer posted on the employer review website Glassdoor.com: “Lots of transparency and communication. [. . .] Team leader is great, delegates a lot, no micro-management. She also challenges us constantly and give[s] very candid and direct but always tactful feedback.”⁷⁸ Another employee in talent acquisition shared, “I think we're transparent to a fault in our culture and that can come across as cutthroat.”⁷⁹

Some former staff felt the Keeper Test was reasonable and contributed to a high-achieving environment. One shared, “I think some people felt it was a culture of fear. But nowhere in the Keeper

Test does it say you have to be perfect. I think as long as you realize that, it's not quite as scary."⁸⁰ Another felt his firing had been abrupt after seven years, but admitted, "It's difficult to find so many smart people working for one company."⁸¹ One employee was in a room of about 50 people when his termination was announced.⁸² He noted, "It was certainly awkward for some, but was also consistent with the culture — there is sometimes a cost to transparency. In the end, I felt it was beneficial."⁸³

Other past staff members felt the Keeper Test created a challenging work environment. One said, "It was very much on our minds: How do I know if I'm about to be fired?"⁸⁴ Another recalled seeing a just-fired employee tearfully packing her belongings while the rest of the team kept to themselves; the employee believed people feared that "helping her would put a target on their back."⁸⁵

Exporting the Culture to Other Countries

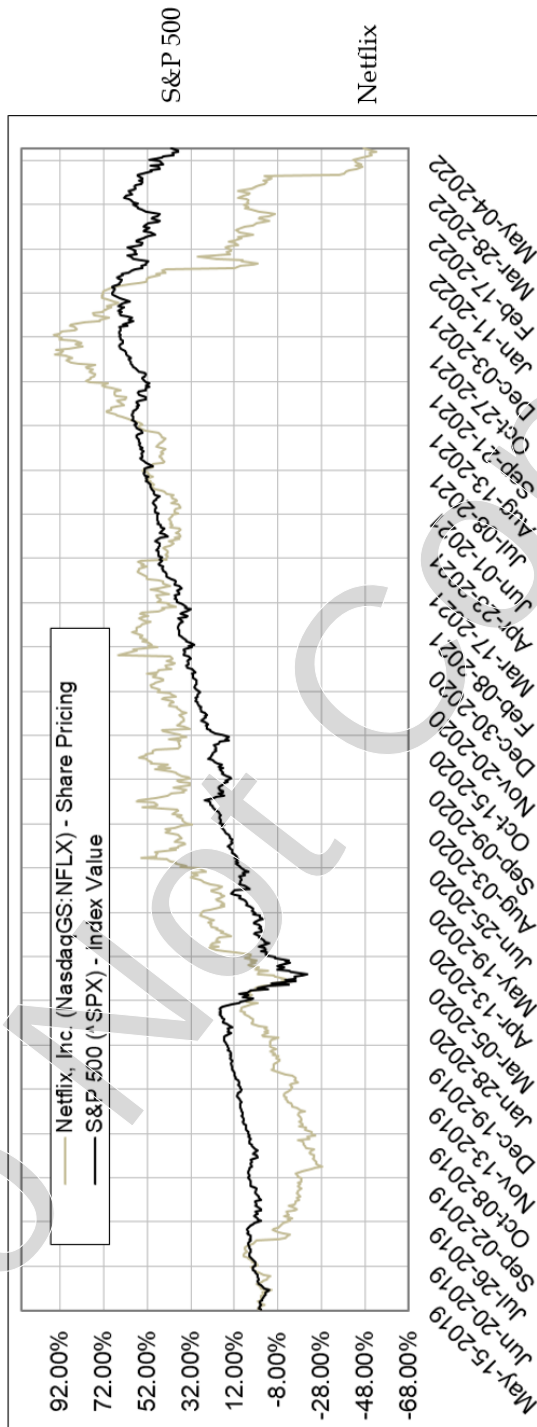
In 2021, Netflix employed 11,300 full-time staff spanning 60 countries: 76% in the U.S. and Canada; 12% in Europe, the Middle East, and Africa; 8% in Asia-Pacific; and 4% in Latin America.⁸⁶ In each nation, Netflix's culture remained the norm, though the company was willing to make some adjustments. For employees whose cultures were less comfortable with forthrightness, Hastings noted: "Given the importance of candor for Netflix, employees in indirect cultures need to get used to both giving and receiving feedback with a frankness they may not be accustomed to."⁸⁷ For example, employees in Japan had feedback written into meeting schedules and were asked to prepare for it.⁸⁸ The amount of severance for dismissed employees was also adjusted to meet cultural expectations.⁸⁹

(No) New Rules?

In 2022, as its business slowed, Netflix decided to reduce investment in original programming.⁹⁰ The Head of Global TV stated, "We should right-size budgets depending on what the creative dictates, and what the size of the audience is."⁹¹ Netflix also announced higher subscription prices in the U.S. and Canada and began discussions about creating a cheaper, ad-supported subscription option.⁹² The reduced investment concerned some creative artists. A producer of several Netflix programs said, "As creative people we are getting whipsawed. There is not a mission statement that sticks around for more than a couple of months."⁹³ Producers also cited concerns about a growing cancellation rate and an increasingly short window for shows to achieve high enough ratings before cancellation.⁹⁴

In addition to adjusting its business strategy, Netflix tweaked its culture guidelines in 2022, adding a section on "artistic expression" regarding its programming.⁹⁵ The company wrote, "Depending on your role, you may need to work on titles you perceive to be harmful. If you'd find it hard to support our content breadth, Netflix may not be the best place for you."⁹⁶ Prior to this change, the company had made minor adjustments to its culture guidelines, though the core principles of the 2009 culture deck had remained intact. As McCord said of the original deck, "It was also a PowerPoint, so it wasn't carved in the lobby, and we didn't publish it in hard copy. If an employee would say, 'You know, I think we could say this better on slide 17,' then we'd change slide 17."⁹⁷

As the streaming industry matured and competition grew, the sustainability of Netflix's "no rules rules" came into question. Should Netflix maintain its existing model for company culture in the face of new challenges and were small changes to the culture guidelines enough? Would Hastings and his senior-level staff be able to pass the Keeper Test of this moment? As one entertainment industry insider wondered: "The burning question in town is, do the executives at the top stay the same now that they've hit a massive speed bump?"⁹⁸

Exhibit 1 Netflix Stock Performance, May 2019 to May 2022

Source: "Netflix," Chart Builder, Capital IQ, Inc., a division of Standard & Poor's.

Exhibit 2 Netflix Key Financials, 2017–2021 (in Millions USD, Except Per Share Items)

	2017	2018	2019	2020	2021
Total Revenue	\$11,692.7	\$15,794.3	\$20,156.4	\$24,996.1	\$29,697.8
Growth Over Prior Year	32.4%	35.1%	27.6%	24.0%	18.8%
Gross Profit	3,659.7	5,826.8	7,716.2	9,719.7	12,365.2
EBITDA	910.6	1,688.4	2,707.8	4,701.0	6,402.9
EBIT	838.7	1,605.2	2,604.3	4,585.3	6,194.5
Earnings from Cont. Ops.	558.9	1,211.2	1,866.9	2,761.4	5,116.2
Net Income	558.9	1,211.2	1,866.9	2,761.4	5,116.2
Diluted EPS Excluding Extraordinary Items	1.25	2.68	4.13	6.08	11.24

Source: Casewriters, compiled from Netflix, Key Stats, Capital IQ, Inc., a division of Standard & Poor's.

Note: Cont. Ops. = Continuing Operations. EPS = Earnings per Share.

Exhibit 3a Netflix Culture Deck (Select Slides)**FREEDOM AND RESPONSIBILITY**

- Many people say one can't do it at scale
- But since going public in 2002, which is traditionally the end of freedom, we've substantially increased talent density and employee freedom

HONESTY

- You are known for candor and directness
- You are non-political when you disagree with others
- You only say things about fellow employees you will say to their face
- You are quick to admit mistakes

MINIMIZE COMPLEXITY GROWTH

- Few big products vs many small ones
- Eliminate distracting complexity (barnacles)
- Be wary of efficiency optimizations that increase complexity and rigidity
- Note: sometimes long-term simplicity is achieved only through bursts of complexity to rework current systems

"GOOD" VERSUS "BAD" PROCESS

- "Good" process helps talented people get more done
 - Letting others know when you are updating code
 - Spend within budget each quarter so don't have to coordinate every spending decision across departments
 - Regularly scheduled strategy and context meetings
- "Bad" process tries to prevent recoverable mistakes
 - Get pre-approvals for \$5k spending
 - 3 people to sign off on banner ad creative
 - Permission needed to hang a poster on a wall
 - Multi-level approval process for projects
 - Get 10 people to interview each candidate

Source: Reed Hastings, Netflix Culture: Freedom & Responsibility, August 1, 2009, <https://bit.ly/38mV2L7>, accessed May 2022.

Exhibit 3b Netflix Culture Deck (Select Slides)**INCREASE TALENT DENSITY**

- Top of market compensation
- Attract high-value people through freedom to make big impact
- Be demanding about high performance culture

OUR HIGH PERFORMANCE CULTURE NOT RIGHT FOR EVERYONE

- Many people love our culture, and stay a long time
 - They thrive on excellence and candor and change
 - They would be disappointed if given a severance package, but lots of mutual warmth and respect
- Some people, however, value job security and stability over performance, and don't like our culture
 - They feel fearful at Netflix
 - They are sometimes bitter if let go, and feel that we are political place to work
- We are getting better at attracting only the former, and helping the latter realize we are not right for them

FREEDOM & RESPONSIBILITY
[continued]

- Our model is to increase employee freedom as we grow, rather than limit it, to continue to attract and nourish innovative people, so we have better chance of sustained success

HIGH PERFORMANCE

- We're a team, not a family
- We're like a pro sports team, not a kid's recreational team
- Netflix leaders hire, develop and cut smartly, so we have stars in every position

Source: Reed Hastings, Netflix Culture: Freedom & Responsibility, August 1, 2009, <https://bit.ly/38mV2L7>, accessed May 2022.

Exhibit 3c Netflix Culture Deck (Select Slide)**HIGH PERFORMANCE** [continued]

- The Keeper Test Managers Use:
 - Which of my people, if they told me they were leaving for a similar job at a peer company, would I fight hard to keep at Netflix?
- The other people should get a generous severance now, so we can open a slot to try to find a star for that role

Source: Reed Hastings, Netflix Culture: Freedom & Responsibility, August 1, 2009, <https://bit.ly/38mV2L7>, accessed May 2022.

Exhibit 3d Netflix Culture Deck (Select Slides)**CONTEXT, NOT CONTROL**

- | | |
|--|--|
| <ul style="list-style-type: none"> - Provide the insight and understanding to enable sound decisions - <u>Context (embrace)</u> <ul style="list-style-type: none"> - Strategy - Metrics - Assumptions - Objectives - Clearly-defined roles - Knowledge of the stakes - Transparency around decision-making | <ul style="list-style-type: none"> - <u>Control (avoid)</u> <ul style="list-style-type: none"> - Top-down decision-making - Management approval - Committees - Planning and process valued more than results |
|--|--|

CONTEXT, NOT CONTROL [continued]

- Managers: When you are tempted to "control" your people, ask yourself what context you could set instead
- Are you articulate and inspiring enough about goals and strategies?

HIGHLY ALIGNED, LOOSELY COUPLED

- Highly Aligned
 - Strategy and goals are clear, specific, broadly understood
 - Team interactions focused on strategy and goals, rather than tactics
 - Requires large investment in management time to be transparent and articulate and perceptive
- Loosely Coupled
 - Minimal cross-functional meetings except to get aligned on goals and strategy
 - Trust between groups on tactics without previewing/approving each one – so groups can move fast
 - Leaders reaching out proactively for ad-hoc coordination and perspective as appropriate
 - Occasional post-mortems on tactics necessary to increase alignment

Source: Reed Hastings, Netflix Culture: Freedom & Responsibility, August 1, 2009, <https://bit.ly/38mV2L7>, accessed May 2022.

Exhibit 3e Netflix Culture Deck (Select Slide)**NETFLIX VACATION POLICY AND TRACKING**

- “there is no policy or tracking”
- There is also no clothing policy at Netflix, but no one comes to work naked
- Lesson: you don’t need policies for everything

Source: Reed Hastings, Netflix Culture: Freedom & Responsibility, August 1, 2009, <https://bit.ly/38mV2L7>, accessed May 2022.

Exhibit 3f Netflix Culture Deck (Select Slide)**NETFLIX POLICIES FOR EXPENSING, ENTERTAINMENT, GIFTS & TRAVEL:**

- “Act in Netflix’s Best Interest”
(5 words long)

Source: Reed Hastings, Netflix Culture: Freedom & Responsibility, August 1, 2009, <https://bit.ly/38mV2L7>, accessed May 2022.

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